



INTER-OFFICE COMMUNICATION

TO: Dean Wray
Jen Nichols
Bob McAllister
Amy Treichel
Maria Gibbens

FROM: Bob McLauchlin
Frank Jorgensen

DATE: August 26, 2024

SUBJECT: CURRENT CONTRACT NEGOTIATIONS, CONTRACT RENEWAL

UNION LOCAL(S): Teamsters Locals 174 and 313

ESC CONTRACT ID(S): 1400WA and 1401PM

This is to advise that the Employer offer for settlement of the above referenced contracts was ratified on July 1, 2024. Attached is the Contract Renewal outlining the major changes contained in this settlement.

This is also your authorization to implement the changes outlined in the attached Contract Renewal, including wage rates effective retroactive to August 11, 2024.

If you have any questions, or need any further information concerning these settlements, please let us know.

Yours truly,

Bob McLauchlin
Frank Jorgensen

cc: Simone Appleton
Chad Cummings
Steven Menaquale
Doug Campbell
Brad Street
Judi Henry
Ruthe Rogers
Brent Bohn
Dan Dosenbach
Bob McLauchlin
Frank Jorgensen

Contract Renewal Contract ID's 1400WA and 1401PM

CONTRACT RENEWAL

CONTRACT ID(S): 1400WA/1401PM

CONTRACT NAME/DESCRIPTION: 073 GrocWorks Union Drivers WA and 073 GrocWorks Union Drivers PM

UNION LOCAL(S): Teamsters Locals 174 and 313

SAFEWAY NEGOTIATOR: Brent Bohn

CONTRACT EFFECTIVE DATE: August 5, 2024

CONTRACT EXPIRATION DATE: November 1, 2028

CONTRACT RATIFICATION DATE: July 1, 2024

WAGE RATE CHANGES: August 11, 2024
August 10, 2025
August 9, 2026
August 8, 2027
August 6, 2028

Increase all steps per each wage rate effective date.

RETROACTIVE PAY: None.

RATIFICATION BONUS: None

Contract Renewal Contract ID's 1400WA and 1401PM

OTHER LUMP SUM BONUS PAYMENT(S): None

GIFT CARD PAYMENT(S): None

HEALTH & WELFARE/DENTAL/VISION: Company Plan

Employer H&W Contributions

Current Rates: Ninety percent (90%) of the cost of Company Medical, Dental and Vision coverage for employee only coverage and eighty percent (80%) of the cost of Company Medical, Dental and Vision for any level of family coverage.

New/Future Rates: No change

Employee H&W Contributions

Current Rates: Ten percent (10%) of the cost of Company Medical, Dental and Vision coverage for employee only coverage and twenty percent (20%) of the cost of Company Medical, Dental and Vision for any level of family coverage.

New/Future Rates: No change

Other changes: Initial coverage: Employees shall be eligible for coverage the first of the month after the employee completes **ninety (90) calendar days of employment** assuming they work the required monthly hours as set forth below. (**Previously was six 6 months.**)

PENSION:

Employer Pension Contributions

Current Rates: \$1.00 per hour

New/Future Rates: \$2.00 per hour effective January 2025 hours

Other changes: None

PENSION PROTECTION ACT (PPA): N/A

WORKING HOURS AND OVERTIME PROVISIONS:

The schedule will indicate remaining available shifts. All Employees will have until Noon Friday to volunteer for an open shift, which will be filled in seniority order off the Master list. Employees may request to see available shifts at other stores in addition to their home store. After Noon Friday, open slots will be filled on a first come, first served basis. If a slot remains open at Noon on the day before, the Employer may fill the slot with a third party delivery service.

The Employer may continue to use a third party delivery service (which is currently Doordash) in lieu of cancelling orders, provided all employees are working or have been offered work. The third party delivery service cannot be used in lieu of overtime, nor as a substitute for the hiring of regular employees.

In exchange for continued use of a third party delivery service (which is currently Doordash), the Employer will enable and promote on its website, where orders are made and accepted, a field where customers can select a tip. In addition, employees will be permitted to accept tips directly from customers. One hundred percent (100%) of tips will go to the driver.

NOTE: The Employer acknowledges it stated during bargaining the default tip is two dollars (\$2.00) per order for orders less than forty dollars (\$40.00) or five percent (5%) for orders of forty dollars (\$40) or more. In the event the Employer wishes to change the tip structure it will notify the Union and comply with its obligations under Section 18.02.

NOTE: In this market, the Employer currently uses Doordash as its third-party delivery service. If the Employer modifies who it uses as the service provider, or needs to add a second/backup third-party delivery service, it will notify the Union and comply with its obligations under Section 18.02.

Express Delivery Orders: Notwithstanding any other provision in this collective bargaining agreement, deliveries scheduled to take place within 2.5 hours of when the order was placed by the customer may be assigned to a third party delivery service under the following conditions:

1. Any such order that can be delivered within 2.5 hours of when the order was placed by the customer by adding it to an existing route shall be delivered by a bargaining unit member.
2. No current employee as of date of ratification will be laid off during the term of this Agreement due to the Employer's use of a third-party delivery service.
3. The Employer agrees to maintain no less than 120 bargaining unit employees for the life of this Agreement (same proportion for each Local Union as existed at the time of negotiations).
4. The third party delivery service may not deliver any orders to zip codes outside the geographic area covered by this Agreement with orders picked from any of the stores covered by Section 1.01.

Implementation: The Employer will enable tipping as soon as practicable. The new "express delivery" option will not be effective until tipping is enabled.

PREMIUM PAY:

Holiday Worked Premium will be 1x employees base rate of pay for those hired on or after August 11, 2024 (Earn codes 048/248).

New Classification: Driver Trainer – 12488. Reference job code 14206. Effective August 11, 2024.

HOLIDAYS:

Holiday Not Worked Pay: No change.

Other changes: Effective 1/1/25, add MLK day to the holiday week in place of the employee's Anniversary date. Employee's Anniversary date remains a paid holiday, just not part of the Holiday week.

VACATIONS:

Employees hired after August 24, 2024, and who have been employed for a period of one (1) year or more shall have paid vacations, as follows:

- One (1) week after one (1) year.
- Two (2) weeks after three (3) years.
- Three (3) weeks after seven (7) years.
- Four (4) weeks after twelve (12) years.
- Five (5) weeks after twenty (20) years.

SICK PAY:

The Employer will comply with Federal, State and Municipal laws regarding sick leave. employees shall accrue one (1) hour of paid sick leave for every forty (40) hours worked starting on date of hire **unless covered by the City of Seattle Sick Leave law, in which case that law will apply.** Employees are eligible to use sick leave after ninety (90) days of employment and in compliance with the law.

Unused Sick Leave shall accumulate in a bank of no more than one hundred sixty (160) hours. Said bank shall be available for future illnesses. Sick Leave shall be deducted from the bank **as allowed under law.** Benefits for days off must be for scheduled hours but no less than the hours required pursuant to Article 3 and must be for scheduled workdays.

Delete the following language: "The parties hereby expressly waive the provisions of the Seattle Paid Sick Time and Paid Safe Time Ordinance (currently codified as SMC 14.16)."

The provisions of the Seattle Paid Sick Time and Paid Safe Time Ordinance (currently codified as SMC 14.16) will now apply to these employees.

JURY DUTY:

In the even an employee is called for jury duty by a court of the Commonwealth of Pennsylvania or by the Federal Court of the district within which the employee resides and if the employee loses all or part of this working time on account of such jury service, the Employer shall supplement the pay by such employees who have completed their thirty first (31st) working day of employment

FUNERAL LEAVE:

Contract Renewal Contract ID's 1400WA and 1401PM

All regular full-time employees who have completed their sixty (60) working day probationary period; Funeral leave shall be granted in the case of death in immediate family (defined as: the death of a parent, spouse, child, brother, sister, mother-in-law, father-in-law, step children, step parents, grandparents, and grandchildren) of an employee requiring the employee's absence from his or her regularly scheduled assignments to attend the funeral, except as provided for below. The employee shall be granted time off up to three (3) paid working days

OTHER LEAVES OF ABSENCE: No change.

UNION DUES/POLITICAL ACTION COMMITTEE/OTHER DEDUCTIONS: No change.

BOOT/TOOL ALLOWANCE: N/A

OTHER MAJOR CHANGES: None